

CONFERENCE CALL NOTES: US-Canada trade update

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Conference Call Note

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US-Canada trade update

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Talks collapsed Friday when U.S. demands on trucks, streaming content rules, and third-country trade autonomy crossed Canadian red lines; Section 338 tariffs targeting \$20B in Canadian goods (including USMCA-compliant goods) at 50% are now in force, with Canadian retaliatory tariffs set to go into effect on 8 September.

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Eurasia Group assigns 30% odds to a return to the tariff status quo before the collapse of negotiations, while our broader US-Canada basecase remains a "zombie USMCA" (90%) with partial tariff exemptions and on-and-off bilateral talks.

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The political dynamics in Canada make a near-term return to the table structurally difficult: polling suggests up to 75% of Canadians supported Carney's decision to suspend talks, and the three US demands that broke the deal are third rails in Canadian domestic politics.

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Speakers:

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Clayton Allen, Practice Head, United States

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Gerald Butts, Chairman

*

Noah Daponte-Smith, Senior Analyst, United States

*

Graeme Thompson, Senior Analyst, Global Macro

Section 338: A Novel and Legally Uncertain Authority

Section 338 of the Trade Act of 1930 — never previously used to impose tariffs in its hundred-year history — is now the administration's primary flexible trade authority following the Supreme Court's invalidation of International Emergency Economic Powers Act (IEEPA) tariffs earlier this year. The statute allows tariffs of up to 50% on goods from any country where the President finds evidence of discrimination against U.S. commerce, a standard the President appears able to declare unilaterally.

Three legal questions cloud its durability: whether any factual process is required, whether subsequent 1970s trade legislation overrides it, and — most consequentially — whether Congress had the authority to delegate this power to the Executive at all. The Supreme Court has not looked favorably on broad congressional delegations; three justices voted to strike down IEEPA on that basis. However, legal challenge timelines are long; with the IEEPA decision as a precedent, we expect nothing from the Supreme Court before approximately mid-2027. Lower court rulings blocking the tariffs are possible but likely to be suspended on appeal. Section 338 will almost certainly remain in force through the near term.

Additional U.S. Escalation Paths

The administration retains several other tools, ranked roughly by feasibility:

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Expand Section 338 coverage beyond current sectors (currently targeting roughly \$20B, or ~5% of Canadian exports, including USMCA-compliant goods).

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Increase Section 232 sectoral tariffs on autos and metals — the most legally durable option, already court-blessed. President Trump threatened to increase these tariffs on autos/trucks earlier today with a January 2027 implementation date.

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Add Canada to an existing Section 301 overcapacity investigation.

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Increase the Section 301 forced-labor tariff (currently 10%, with USMCA exemptions covering 80–90% of goods) and potentially strip those USMCA exemptions if Canadian retaliatory tariffs remain in place significantly past September 8.

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Formal USMCA exit — least likely, legally complicated with Congress; the more probable equivalent is removing USMCA exemptions from existing Section 301 tariffs.

Section 232 tariffs are seen as the most reliable pressure point going forward precisely because of their legal durability.

How the Talks Collapsed — and Why It Matters for the Path Back

The breakdown reflects a structural problem in the U.S. negotiating team: unlike the 2017–2018 NAFTA renegotiation — where US Trade Representative Robert Lighthizer had explicit White House backing and Jared Kushner's periodic presence at the table signaled presidential alignment — USTR Jamieson Greer does not appear to be the final decision-maker. Commerce Secretary Howard Lutnick is also a key actor influencing President Trump, and the Canadian side has a less reliable read on his motivations and mandate.

The three issues that broke the deal — exclusion of medium and heavy-duty trucks from Section 232 auto tariff relief (material for Ontario auto plants), demands to roll back Canadian content and French-language requirements for U.S. streaming companies, and restrictions on Canada's ability to negotiate trade and investment deals with third countries — are red lines. Ottawa views the latter two as serious infringements on Canadian sovereignty. Canadian political culture has, across most of its history, consistently rejected U.S. economic arrangements perceived as subverting national independence. Polls showing 75% support for Carney's decision to walk away from talks is consistent with that pattern.

For negotiations to be productive, the Canadian side would need either Lutnick's absence from the table or direct presidential assurance that either he or Greer speaks for Trump. Neither is currently on offer.

Canada's Political Landscape and Retaliation Calculus

Carney's political position is, for now, strengthened by the breakdown. Upcoming by-elections are likely to consolidate his parliamentary majority. The October Alberta independence referendum and Quebec general elections both carry political upside for the Liberal government given its posture of standing firm against U.S. demands — particularly the French-language streaming issue in Quebec.

Canadian retaliation by September 8 is expected to follow the established playbook: targeted at specific U.S. states and congressional districts with disproportionate trade exposure to Canada, designed to maximize political pain ahead of U.S. midterms. Agricultural goods in Iowa, Michigan, and other border states are possible targets. Goods that are easily substitutable from other sources could also face new tariffs.

Energy export restrictions are highly unlikely, particularly ahead of the Alberta referendum. Carney has invested heavily in repairing Alberta alienation, and weaponizing energy would undercut that. Canada has, however, begun diversifying crude exports — the Trans Mountain pipeline has brought the share of oil exports going to the U.S. below 90% for the first time, down from roughly 97%, with a second West Coast Pipeline projected to carry 1 million barrels per day to the Pacific Ocean in planning stages.

USMCA Outlook: Zombie Base Case, Downside Risks Likely to Rise

Eurasia Group's "zombie USMCA" framing — partial USMCA exemptions intact, on-and-off bilateral talks, annual review process proceeding — remains the base case. But the events of the past weekend highlight the risks of a downside sub-scenario "Canada in the cold," (20% odds) in which Mexico secures a deal by year-end and Canada does not; we will release revised USMCA scenario odds in the coming days.

The 30% odds of a return to the tariff status quo last week, before the collapse of negotiations, reflect how politically costly any deal has now become for Carney. While he was likely able to sell the agreement-in-principle reported last week at an acceptable political cost, Canadian public opinion will be less open to compromise in the wake of the failed talks and the perceived US attack on Canadian sovereignty.

The Macro Shift: End of the Integration Era

The 1988–2016 period of deepening North American economic integration is arguably the anomaly, not the norm, in the longer arc of North American history. The current period is therefore a reversion to the mean — governments making more self-interested, domestically driven trade policy regardless of who holds office. This structural shift is expected to persist beyond the current administration, in part

because tariffs rapidly generate domestic constituencies that benefit from their existence and will lobby any future White House — including a Democratic one — to keep them.

Canada's diversification efforts (with Europe, Japan, South Korea, Australia, India, ASEAN, Mercosur, a limited China deal) are real but structurally limited: even a 50% increase in Chinese exports by 2030 would represent a fraction of the value of exports to the US. The acute economic pain — particularly for Ontario and Quebec auto workers — will not be addressed by long-run diversification.

Key Watch Items

1.

September 8 deadline: Whether Canadian retaliatory tariffs come into force and which sectors/states are targeted — this is the primary near-term signpost for the USMCA trajectory.

2.

USMCA exemption status on Section 301 tariffs: If retaliation proceeds, watch whether the administration strips USMCA exemptions from the 10% forced-labor tariff, which currently covers 80–90% of Canadian goods.

3.

Section 232 auto tariff escalation: Trump's January 2027 threat on autos and trucks — monitor whether this is followed through or used as a negotiating lever.

1.

Lutnick's role: Any signal that the Commerce Secretary is stepping back from the negotiating process, or that Greer has received explicit presidential backing, would be a meaningful indicator of deal feasibility.

2.

Alberta referendum (October 19): Outcome affects Carney's domestic political calculus and his flexibility on energy-related concessions.

3.

Legal challenges to Section 338: Watch for filings in the coming weeks; lower court rulings could come before year-end, though they are unlikely to block tariffs pending appeal.

What Clients Are Asking

How the talks actually fell apart: U.S. demands on trucks, streaming content rules, and third-country trade restrictions surfaced late in the process and were unresolvable — consistent with a pattern where the USTR does not appear to have had full White House alignment before the final push.

Energy as a retaliation tool: Can and will Canada restrict crude exports to the U.S.? Almost certainly not in the near term — this is a last-resort option, with the Alberta referendum making it politically untenable for Carney to antagonize the province before October 19.

Midterm electoral impact: Will Canadian retaliation materially benefit Democrats? While it will feature prominently in Maine, Ohio, and Michigan, it is unlikely on its own to deliver the Senate to Democrats, given that economic discontent is already baked into the electoral environment and voter preferences are largely set.

Prospects under a future U.S. administration: Clients asked whether a post-Trump president could reset the relationship. This is less likely than it may seem; tariffs entrench domestic beneficiaries who will lobby any administration for their maintenance, and the structural shift away from the integration era is

expected to persist regardless of who occupies the White House.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

Gerald Butts

Chairman

gmbutts@eurasiagroup.net

Clayton Allen

Practice Head, United States

+1 202.903.0027

allen@eurasiagroup.net

Noah Daponte-Smith

Senior Analyst, United States

daponte-smith@eurasiagroup.net

Graeme Thompson

Senior Analyst, Global Macro

thompson@eurasiagroup.net

Nancy Wei

Analyst, Trade & Supply Chains

Wei@eurasiagroup.net

Jason Walter

Researcher, United States

walter@eurasiagroup.net

EG United States

unitedstates@eurasiagroup.net

EG Canada

canada@eurasiagroup.net

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